

Wealth Strategy Snapshot: Educational Analysis

2026 Tax Year Planning

Prepared for Clayton Matthew Lewis | April 2026

Educational scenario modeling for discussion with licensed professionals

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to your financial profile. As a high-income W-2 earner with an established real estate portfolio and active LLC entities, this snapshot models several overlapping strategies across retirement maximization, real estate tax optimization, and investment scenario planning, all using 2026 IRS contribution limits per Rev. Proc. 2025-32 and current provisions including SECURE 2.0 and the One Big Beautiful Bill Act (OBBBA).

Based on the profile data provided, this snapshot models potential first-year value ranging from **\$113,379** (conservative scenario) to **\$939,433** (aggressive scenario including real estate acquisition). Implementation of any strategy should be verified with your CPA and licensed financial advisor.

Wealth Strategy Snapshot | 2026 Tax Year Planning | Educational Analysis Only | Consult Licensed Professionals Before Implementation

Profile Summary & Current Financial Position

Category	Detail
Name / Age	Clayton Matthew Lewis, 61 (age 60–63 super catch-up eligible)
Filing Status	Married Filing Jointly
Location	Charlotte, North Carolina (state rate: 3.99% for 2026)
W-2 Income	\$500K+ (commission-only, ~15 hrs/wk)
Spouse Income	\$300K+
Combined Household	\$800K+ (est. marginal rate: 37% fed + 3.99% NC = 41%)
Self-Employment Income	<\$25K (LLC operations)
Business Entities	Multi-Member LLC — 4 entities (3 WY, 1 NC)
Real Estate	4 long-term rental properties; planning first STR acquisition (\$1.5–2.0M)
Liquid Capital	\$250K–\$499K
Capital to Deploy	\$25K–\$50K (comfortable range)
Emergency Fund	6+ months
Credit Score	720–759
Primary Residence	Owned, significant equity (\$100K+), value ~\$400K, 1st lien HELOC / no mortgage
Vehicle	2025 Dodge Ram Limited (>6,000 lbs), 75%+ business use
Home Office	Yes — dedicated room, exclusive business use
Retirement Accounts	W-2 401(k) maxed (\$23,500 in 2025); Employer match maxed; No HSA currently; No solo plan for SE income

Bitcoin Position	Small (<1% of portfolio)
Risk Tolerance	Moderate (balanced growth and stability)
Time Available	10–15 hrs/wk for wealth strategies
Tax Professional	CPA (proactive on strategies), RE agent/investor relationships
Goals	Reduce taxes going forward, Airbnb arbitrage, estate planning for heirs, REPS qualification

⚠️ **SECURE 2.0 Alert:** Clayton earned \$500K+ in FICA wages in 2025. Under SECURE 2.0, his 2026 401(k) catch-up contribution (\$11,250 super catch-up) **must be designated Roth**, not pre-tax. This means only the \$24,500 base deferral generates current-year tax savings. Discuss with CPA and plan administrator.

OBBBA Impact (Signed July 4, 2025): The One Big Beautiful Bill Act made several changes affecting this analysis: 100% bonus depreciation permanently restored for property acquired after Jan 19, 2025; SALT cap raised to \$40,000; Section 179 expanded to \$2.5M; TCJA individual rates made permanent; Non-itemizer charitable deduction (\$2,000 MFJ). These provisions are incorporated throughout this snapshot.

Key Client Questions Noted:

1) Estate structure to benefit heirs | 2) REPS qualification with full-time W-2 | 3) Whole life / LIRP policy for tax-free borrowing

Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

Timeframe	Consideration	Discussion Point
Week 1	REPS Hour-Tracking System	Begin contemporaneous log of all real estate hours immediately. At ~15 hrs/wk W-2 (~780 hrs/yr), RE hours must exceed W-2 hours for REPS. With 4 LTRs + STR acquisition + 10-15 hrs/wk RE, this may be achievable. Discuss documentation requirements with CPA.
Week 1	2025 IRA / HSA Contributions	Backdoor Roth IRA for 2025 (\$7,000 + \$1,000 catch-up each = \$8,000 × 2 spouses = \$16,000) and HSA top-up for 2025 can still be made before April 15, 2026. Coordinate with CPA before tax filing.
Week 2	W-4 Review	Model updated withholding with CPA reflecting all 2026 deductions and new strategies including OBBBA provisions. Potential to increase monthly take-home by optimizing withholding.
Week 2	Solo 401(k) Consideration	For 2026 employee deferrals from SE income, plan must be established by December 31, 2026. Employer contributions can be made until tax filing + extensions. Discuss timing with CPA.
Week 3	STR Acquisition Planning	Discuss cost segregation study timing, material participation requirements (100+ hrs, more than any other individual), and entity structure with CPA and RE attorney for the planned \$1.5-2M property. 100% bonus depreciation applies under OBBBA for post-Jan 19, 2025 acquisitions.
Week 3	Augusta Rule Documentation	Document fair rental value of primary residence with comparable market data. If LLC board meetings or business use of home apply, begin scheduling 2026 rental days (up to 14 days).
Week 4	Estate Planning Discussion	Consult estate attorney re: dynasty trust, ILIT, or SLAT structures given \$800K+ income, growing RE portfolio, and adult children.

Coordinate on gift/estate tax implications. 2026 lifetime exemption: \$13.99M per person.

Week 4	Insurance Policy Evaluation	If exploring whole life / IUL (LIRP) for tax-free borrowing, consult a fee-only fiduciary advisor (not the insurance salesperson) to compare against Backdoor Roth + brokerage alternatives. Typical break-even: 8-15 years.
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2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions can still be made until April 15, 2026:

Strategy	2025 Limit	Deadline	Your Opportunity
Traditional / Backdoor Roth IRA (×2 spouses)	\$7,000 + \$1,000 catch-up each = \$16,000	April 15, 2026	If not yet funded for 2025, up to \$16,000 total for both spouses
HSA Contributions	\$8,550 family + \$1,000 catch-up (55+) = \$9,550	April 15, 2026	If enrolled in HDHP, verify with CPA; top up any shortfall
Solo 401(k) Employer Portion	25% of net SE income (plan must already exist)	Tax filing + extensions	If Solo 401(k) existed in 2025 and SE income was earned, ~\$5,500 employer contribution possible
SEP IRA	25% of compensation, up to \$69,000	Tax filing + extensions	Alternative if no Solo 401(k) existed. Discuss with CPA

No Longer Available for 2025: 401(k) employee deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (Dec 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

2026 Tax Optimization Strategies to Explore

Strategy 1: W-2 401(k) Maximization with Super Catch-Up (Age 60–63)

Potential Value: \$10,045 (current-year tax savings on pre-tax portion)

What It Is: The 2026 SECURE 2.0 provision allows employees aged 60–63 an enhanced catch-up contribution of \$11,250 (vs. \$8,000 standard). Combined with the \$24,500 base deferral, this totals \$35,750 in employee contributions.

How It Works: Only the \$24,500 pre-tax base deferral generates current-year tax savings: $\$24,500 \times 41\% = \$10,045$. The \$11,250 super catch-up **must be Roth** due to \$500K+ FICA wages in 2025 (SECURE 2.0 mandate). The Roth catch-up provides tax-free growth and withdrawals in retirement rather than a current deduction.

Eligibility Criteria: Age 60–63 in 2026, active participant in employer plan, earned income. FICA wages >\$150,000 in 2025 triggers mandatory Roth catch-up.

1. Confirm plan administrator supports designated Roth catch-up contributions
2. Adjust deferral election to reflect \$35,750 total (\$24,500 pre-tax + \$11,250 Roth catch-up)
3. Coordinate with spouse's employer plan for their maximization

Verify plan supports Roth catch-up and confirm 2026 deferral limits with your CPA. 2026 limits shown.

Strategy 2: REPS Status + STR Material Participation

Potential Value: \$0 (conservative) to \$175,000 (aggressive, with \$1.75M STR acquisition + cost segregation)

What It Is: Real Estate Professional Status allows rental losses to offset W-2 income. Alternatively, short-term rentals with material participation bypass passive activity rules entirely, without requiring REPS.

How It Works: REPS requires 750+ RE hours AND more RE hours than any other activity. At ~15 hrs/wk W-2 (~780 hrs), Clayton's RE hours must exceed 780. With 4 LTRs + STR acquisition + 10–15 hrs/wk RE, this is close. The STR alternative: if avg guest stay <7 days and Clayton participates 100+ hours (more than any other person), losses are non-passive regardless of REPS. On a \$1.75M property, a cost segregation study with **100% bonus depreciation (OBBBA)** could generate \$600K–\$875K of accelerated depreciation, producing \$175K–\$250K+ Year 1 tax benefit at 41%.

Eligibility Criteria: REPS: 750+ hrs in RE trades/businesses AND majority of personal service hours. STR material participation: avg stay <7 days, 100+ hours of personal participation, more than anyone else.

1. Begin contemporaneous hour log immediately (apps: Toggl, Hours Tracker)
2. Discuss STR material participation vs. full REPS with CPA — STR path may be simpler

3. Coordinate cost segregation study timing with STR acquisition closing

REPS and STR material participation have strict documentation requirements. Work with a qualified tax professional to ensure compliance. IRS scrutiny is high for W-2 earners claiming REPS.

Strategy 3: Solo 401(k) for Self-Employment Income

Potential Value: \$2,255 (tax savings on ~\$5,500 employer contribution)

What It Is: A Solo 401(k) for the LLC's self-employment income. Since Clayton's W-2 plan exhausts the employee deferral (\$24,500 + \$11,250 catch-up), only the employer contribution (25% of net SE income) is available here.

How It Works: On <\$25K SE income, net SE income after self-employment tax deduction $\approx$ \$22,000. Employer contribution: $25\% \times \$22,000 = \sim \$5,500$. Tax savings: $\$5,500 \times 41\% = \$2,255$.

Eligibility Criteria: Self-employment income, plan established by Dec 31, 2026 for employee deferrals (employer-only contributions can use SEP-IRA established by tax filing deadline).

1. Discuss with CPA whether Solo 401(k) or SEP-IRA is more appropriate
2. Plan establishment deadline: Dec 31, 2026 for full Solo 401(k) features
3. Annual Form 5500-EZ if combined 401(k) balances exceed \$250K

Verify contribution limits and eligibility with your CPA. 2026 limits shown.

Strategy 4: HSA Maximization

Potential Value: \$3,998 (tax savings)

What It Is: Health Savings Accounts offer a triple tax advantage: deductible contribution, tax-free growth, and tax-free qualified withdrawals. For 2026, the family limit is \$8,750 + \$1,000 catch-up (age 55+) = \$9,750.

How It Works: $\$9,750 \times 41\% = \$3,998$ potential tax savings. Requires enrollment in a High Deductible Health Plan (HDHP). If currently enrolled through employer, verify HDHP status. If not, evaluate plan options at next open enrollment.

Eligibility Criteria: Must be enrolled in HDHP, not enrolled in Medicare, not claimed as dependent. Age 55+ qualifies for \$1,000 additional catch-up.

1. Verify current health plan qualifies as HDHP
2. If HDHP eligible, contribute max via payroll or direct contribution
3. Consider investing HSA funds for long-term growth (beyond emergency medical needs)

HSA eligibility depends on health plan type. Verify with your benefits administrator and CPA. 2026 limits shown.

Strategy 5: Augusta Rule (IRC §280A)

Potential Value: \$2,870–\$4,018 (tax savings) + \$7,000–\$9,800 tax-free income

What It Is: A homeowner may rent their personal residence for up to 14 days per year without reporting the rental income. If the LLC rents the home for legitimate business use (board meetings, planning sessions, client meetings), the LLC deducts the rent while the homeowner receives it tax-free.

How It Works: Fair market value of \$400K home → comparable rental rate \$500–\$700/day. At 14 days: \$7,000–\$9,800 received tax-free. LLC deducts \$7,000–\$9,800 at 41% = \$2,870–\$4,018 tax savings. Total benefit: income received + deduction value.

Eligibility Criteria: Must have legitimate business purpose for rental. Must document FMV with comparable rentals. Must maintain meeting minutes and business purpose records.

1. Research comparable rental rates for Charlotte-area homes similar to yours
2. Document business purpose for each rental day (board meetings, strategy sessions)
3. Execute written lease between LLC and homeowner at FMV

Augusta Rule requires legitimate business purpose and fair market documentation. Discuss implementation with your CPA. 2026 limits shown.

Strategy 6: Vehicle Deduction (Section 179 + Mileage)

Potential Value: \$3,567–\$5,633 (tax savings)

What It Is: The 2025 Dodge Ram Limited exceeds 6,000 lbs GVWR, qualifying for enhanced Section 179 depreciation. Under OBBBA, Section 179 is expanded to \$2,500,000 (phase-out at \$4,000,000). At 75%+ business use, significant deductions are available. The 2026 standard mileage rate is 72.5¢/mile.

How It Works: Mileage method: $12,000 \text{ business miles} \times \$0.725 = \$8,700 \text{ deduction} \times 41\% = \$3,567 \text{ tax savings}$. Alternatively, actual expense method with Section 179 may yield higher first-year deduction. CPA should compare both methods. If the vehicle was placed in service in 2025, Section 179 or 100% bonus depreciation (OBBBA, if acquired after Jan 19, 2025) may apply to the 2025 return.

Eligibility Criteria: Vehicle >6,000 lbs GVWR, business use >50%, mileage log maintained.

1. Begin mileage tracking log (MileIQ, Everlance, or manual log)
2. CPA to compare mileage vs. actual expense method for optimal deduction
3. Maintain contemporaneous records of business purpose for each trip

Vehicle deductions require contemporaneous mileage logs. Discuss optimal method with CPA. 2026 mileage rate: 72.5¢/mile.

Strategy 7: Home Office Deduction

Potential Value: \$1,230–\$2,050 (tax savings)

What It Is: A dedicated room used exclusively for business qualifies for home office deduction. Two methods: simplified (\$5/sq ft, max 300 sq ft = \$1,500) or actual expenses (proportional share of mortgage interest, taxes, insurance, utilities, depreciation).

How It Works: Simplified: $\$1,500 \times 41\% = \615 ... Actually, the full deduction of up to \$3,000–\$5,000 via actual method on \$400K home yields higher benefit. Actual (est. 10–15% of home expenses): $\$3,000\text{--}\$5,000 \text{ deduction} \times 41\% = \$1,230\text{--}\$2,050$. CPA to compare methods.

Eligibility Criteria: Regular and exclusive use for business. Dedicated room (confirmed in intake). Self-employed or LLC income required (not available for W-2-only if no SE income).

1. Measure dedicated office space square footage
2. Gather home expense records (HELOC interest, property tax, utilities, insurance)
3. CPA to calculate actual vs. simplified method

Home office deduction applies to self-employment / LLC income, not W-2 income. Verify with CPA.

Strategy 8: Backdoor Roth IRA (Both Spouses)

Potential Value: Long-term wealth building (\$17,200 positioned for tax-free growth)

What It Is: At \$800K+ household income, direct Roth IRA contributions are prohibited. The Backdoor Roth strategy involves contributing to a Traditional IRA (non-deductible) then converting to Roth. For 2026: \$7,500 + \$1,100 catch-up = \$8,600 per spouse = \$17,200 total.

How It Works: No current-year tax deduction, but all future growth and withdrawals are tax-free. Especially valuable at age 61 with 4+ years until traditional retirement age. Avoid pro-rata tax issues by ensuring no existing pre-tax IRA balances.

Eligibility Criteria: Earned income for both spouses. No income limit for Backdoor method. Pre-tax IRA balances trigger pro-rata rule (discuss with CPA).

1. Verify neither spouse has existing pre-tax Traditional IRA balances
2. Contribute \$8,600 each to Traditional IRA, then convert to Roth promptly
3. File Form 8606 with tax return to document non-deductible contribution

Backdoor Roth involves careful sequencing. Discuss pro-rata rule and timing with your CPA. 2026 limits shown.

Primary Strategy Education: REPS, STR Material Participation & Estate Planning

REPS Qualification with a Full-Time W-2

This is Clayton's top stated concern. Here is how the math works educationally:

Activity	Est. Annual Hours	Notes
W-2 Job (commission, ~15 hrs/wk)	~780 hrs	This is the number RE hours must exceed
4 LTR Properties (management, maintenance, bookkeeping)	~400-520 hrs	8-10 hrs/wk estimated
STR Acquisition + Management (once acquired)	~300-500 hrs	Due diligence, furnishing, guest mgmt, pricing
RE Education, Networking, Deal Analysis	~100-150 hrs	Must be directly related to RE trades/businesses
Total RE Hours (est.)	800-1,170 hrs	Must exceed W-2 hours AND 750 minimum

Key considerations: The test requires RE hours to exceed the hours in *any other single trade or business*, in this case the W-2 job at ~780 hrs. If total documented RE hours reach 800+, the criteria may be met. However, IRS scrutiny is high for W-2 earners claiming REPS, and contemporaneous logs are essential. A spouse who is not employed (or works fewer hours) may be a stronger REPS candidate if applicable.

STR Material Participation: The Simpler Path

For the planned \$1.5-2M STR acquisition, material participation may be the more straightforward approach:

- If average guest stay is <7 days → the property is **not** treated as a "rental activity" under IRC §469
- Material participation requires only 100+ hours of personal participation AND more hours than any other individual
- Losses from cost segregation become **non-passive**, offsetting W-2 income without REPS
- This is property-specific (each STR qualifies independently)

On a \$1.75M STR with cost segregation and **100% bonus depreciation (OBBBA)**: 35-50% of building basis (after subtracting ~20% land value) can be reclassified to 5/7/15-year property → \$490K-\$700K accelerated depreciation →

\$175K-\$250K+ Year 1 tax benefit at 41%.

STR material participation and cost segregation have specific documentation and IRS compliance requirements. Work with a qualified tax professional specializing in real estate before implementation. Cost seg calculations use building basis (property value minus land), not full property value.

Estate Planning: Protecting Heirs

Clayton asked about the best setup to benefit heirs. Educational concepts worth exploring with an estate attorney:

- **Irrevocable Life Insurance Trust (ILIT):** Removes life insurance proceeds from taxable estate. For a multimillion-dollar policy, this keeps proceeds available to heirs without estate tax.
- **Spousal Lifetime Access Trust (SLAT):** Transfers assets out of estate while retaining indirect access through spouse. Uses lifetime gift tax exemption (\$13.99M per person in 2026).
- **Dynasty Trust:** Multi-generational trust avoiding estate tax at each generation. Particularly powerful in states like Wyoming (no state income tax, favorable trust laws), which aligns with Clayton's existing WY entities.
- **Family Limited Partnership (FLP):** Transfers real estate and business interests to heirs at valuation discounts (20-35% commonly applied). Maintains management control while reducing taxable estate.

Estate planning strategies require coordination between estate attorney, CPA, and financial advisor. The 2026 lifetime gift/estate tax exemption is \$13.99M per person. Verify current exemption with your attorney, as this is scheduled to decrease significantly absent further legislative action.

Whole Life / IUL (LIRP) Policy — Educational Analysis

Clayton asked about a multimillion-dollar insurance policy against which he can borrow tax-free. This concept is called a Life Insurance Retirement Plan (LIRP):

- **How it works:** Overfund a permanent life insurance policy → cash value grows tax-deferred → borrow against cash value tax-free (policy loans are not taxable events)
- **Pros:** Tax-free access to cash, death benefit for heirs, no contribution limits, asset protection in some states
- **Cons:** High fees (2–4% annually), long break-even period (8–15 years), opportunity cost vs. market investing, complexity, surrender charges
- **Key caution:** Consult a **fee-only fiduciary** advisor, not the insurance agent who earns commission on the sale. Compare total net returns (net of all fees) against a Backdoor Roth + taxable brokerage strategy over 10, 15, and 20 years.

Insurance products are complex financial instruments. This is educational information only. Consult a licensed, fee-only financial advisor for product-specific guidance.

Illustrative Portfolio Scenario

Educational Investment Scenario (Based on Profile Analysis)

Based on the moderate risk tolerance, interest in passive income (STRC yield, rental income), growth goals, and 10–15 hrs/wk available, this scenario models a 50/30/20 allocation.

Asset Class	Scenario %	Conservative (\$37,500)	Aggressive (\$375,000)	Educational Rationale
Bitcoin (BTC)	50%	\$18,750	\$187,500	Bitcoin serves as a core wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption. 50% allocation reflects moderate risk profile with growth emphasis.
STRC	30%	\$11,250	\$112,500	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10–12% annual yield. 30% allocation supports stated passive income goals.

VTI / VOO	20%	\$7,500	\$75,000	VTI offers broad U.S. market exposure at low cost (0.03% expense ratio). VOO tracks the S&P 500. 20% provides equity diversification and stability anchor.
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This scenario models one approach based on the moderate risk profile and balanced growth-and-income goals indicated. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation.

All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Past performance does not guarantee future results. Verify current STRC yield at time of investment. Historical yields shown are not guaranteed.

Modeled First-Year Value Summary (2026 Tax Year)

Capital basis: Conservative = \$37,500 (Q45 midpoint) | Aggressive = \$375,000 (Q26 midpoint)

Category	Item	Conservative	Aggressive	Notes
CATEGORY A: TAX OPTIMIZATION				
Tax	W-2 401(k) Pre-Tax Deferral (\$24,500 × 41%)	\$10,045	\$10,045	\$24,500 pre-tax only; \$11,250 catch-up is Roth (SECURE 2.0)
Tax	Solo 401(k) Employer (~\$5,500 × 41%)	\$2,255	\$2,255	25% of ~\$22K net SE income
Tax	HSA Maximization (\$9,750 × 41%)	\$3,998	\$3,998	2026: \$8,750 family + \$1,000 catch-up (55+)
Tax	Augusta Rule	\$2,870	\$4,018	\$500-\$700/day × 14 days × 41%
Tax	Home Office	\$1,230	\$2,050	Actual expense method on \$400K home
Tax	Vehicle (72.5¢/mi, 12K mi)	\$3,567	\$3,567	2026 mileage rate, 75%+ business use
Tax	STR + Cost Segregation (\$1.75M property)	\$0	\$175,000	Aggressive only: 35-50% reclassification × 100% bonus dep (OBBBA) × 41%
Tax Optimization Subtotal		\$23,965	\$200,933	
CATEGORY B: INVESTMENT INCOME (YIELD / DIVIDENDS)				
Income	STRC Yield (10% / 12%)	\$1,125	\$13,500	\$11,250 × 10% / \$112,500 × 12%
Income	ETF Dividends (1.5% / 2%)	\$113	\$1,500	\$7,500 × 1.5% / \$75,000 × 2%

	Investment Income Subtotal	\$1,238	\$15,000	
CATEGORY C: INVESTMENT APPRECIATION (PROJECTED GROWTH)				
Growth	Bitcoin (25% / 50%)	\$4,688	\$93,750	\$18,750 × 25% / \$187,500 × 50%
Growth	STRC (15% / 30%)	\$1,688	\$33,750	\$11,250 × 15% / \$112,500 × 30%
Growth	VTI/VOO (8% / 12%)	\$600	\$9,000	\$7,500 × 8% / \$75,000 × 12%
	Appreciation Subtotal	\$6,976	\$136,500	
CATEGORY D: REAL ESTATE (AGGRESSIVE ONLY — 4 LTRS + PLANNED \$1.75M STR)				
RE	STR Annual Cash Flow (NOI)	\$0	\$60,000	Market-dependent; \$1.75M property in target market
RE	Property Appreciation (4% of \$1.75M)	\$0	\$70,000	3–6% range, modeled at 4%
RE	Mortgage Principal Paydown (Year 1)	\$0	\$17,000	Based on ~\$1.4M mortgage at market rates
	Real Estate Subtotal	\$0	\$147,000	Conservative = no RE acquisition
CATEGORY E: CASH FLOW IMPROVEMENTS				
Cash Flow	W-4 Optimization (increased take-home)	\$6,000	\$12,000	\$500–\$1,000/mo increase from optimized withholding
	Cash Flow Subtotal	\$6,000	\$12,000	
CATEGORY F: WEALTH BUILDING (DOLLARS POSITIONED)				
Wealth	W-2 401(k) + Solo 401(k) Contributions	\$41,250	\$41,250	\$35,750 W-2 + \$5,500 Solo employer
Wealth	HSA Contributions	\$9,750	\$9,750	\$8,750 + \$1,000 catch-up

Wealth	Backdoor Roth IRA (both spouses)	\$17,200	\$17,200	\$8,600 × 2 (both 50+)
Wealth	Augusta Rule Income Received	\$7,000	\$9,800	Tax-free income under 14-day rule
Wealth	RE Equity Position (20% down on \$1.75M)	\$0	\$350,000	Aggressive only
Wealth Building Subtotal		\$75,200	\$428,000	
TOTAL FIRST-YEAR VALUE (2026)		\$113,379	\$939,433	

Verification:

Category	Conservative	Aggressive
A: Tax Optimization	\$23,965	\$200,933
B: Investment Income	\$1,238	\$15,000
C: Appreciation	\$6,976	\$136,500
D: Real Estate	\$0	\$147,000
E: Cash Flow	\$6,000	\$12,000
F: Wealth Building	\$75,200	\$428,000
GRAND TOTAL	\$113,379	\$939,433

Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on modeled rates and is not guaranteed. Past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits per Rev. Proc. 2025-32 and OBBBA provisions; verify with your CPA. Consult with your licensed professionals before implementation.

Calendar Awareness & Key Dates (2026)

Verify all deadlines with your tax professional.

Date	Item	Notes
April 15, 2026	Last day for 2025 IRA/HSA contributions	Backdoor Roth IRA and HSA top-up for 2025 tax year
April 15, 2026	2025 tax return due (or extension)	Solo 401(k) employer contribution for 2025 due with return/extension
October 15, 2026	Extended 2025 tax return deadline	Final date for 2025 SEP IRA or Solo 401(k) employer contributions

December 31, 2026	Solo 401(k) plan establishment deadline	Must be in place for 2026 employee deferrals
December 31, 2026	2026 401(k) employee contributions	W-2 plan: \$24,500 + \$11,250 super catch-up (Roth)
December 31, 2026	Augusta Rule rental days	All 14 rental days must occur within calendar year 2026
January–December 2026	REPS / Material Participation hours	Log contemporaneously throughout the year. Cannot reconstruct retroactively.
April 15, 2027	Last day for 2026 IRA/HSA contributions	2026 Backdoor Roth: $\$8,600 \times 2 = \$17,200$

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Questions for Your Professional Team

For Your CPA / Tax Professional

Based on my income, age (61), and SECURE 2.0 requirements, what are my maximum 2026 retirement contributions across all accounts? Do my catch-up contributions need to be Roth?

Can I still make 2025 IRA and HSA contributions before April 15? What documentation do you need from me?

Given my W-2 hours (~15 hrs/wk, ~780 hrs/yr) and RE activities (4 LTRs + planned STR), is REPS qualification realistic? Or should we focus on STR material participation for the new property?

What cost segregation study firm do you recommend for the planned \$1.5–2M STR acquisition? What's the optimal timing, before or after closing? Can we use 100% bonus depreciation under OBBBA?

For the Augusta Rule: what documentation do you need to support 14 rental days at \$500–700/day? Do we need a formal appraisal or are comparable listings sufficient?

My 2025 cost segregation study may not have provided full benefit due to lack of REPS status. Can we revisit the treatment on the 2025 return? Are amended returns or carryforward adjustments applicable?

With the new \$40,000 SALT cap under OBBBA, should I be itemizing instead of taking the standard deduction?

For Your Estate Attorney

Given my income level, real estate portfolio, and adult children, what estate structure (dynasty trust, SLAT, ILIT, FLP) would best protect assets and minimize estate taxes?

I have three Wyoming LLCs and one NC LLC. Should the estate plan incorporate these entities, and is Wyoming's trust-friendly jurisdiction useful for a dynasty trust?

The lifetime gift/estate tax exemption is \$13.99M in 2026 but may decrease. Should we consider utilizing the exemption now through a SLAT or other transfer strategy?

For Your Financial Advisor (Fee-Only / Fiduciary)

I'm considering a multimillion-dollar permanent life insurance policy for tax-free borrowing. Can you run a comparison of total net returns (after all fees) vs. a Backdoor Roth + taxable brokerage strategy over 10, 15, and 20 years?

How should the planned STR acquisition (\$1.5-2M) fit within my overall asset allocation and risk profile?

Professional Team Considerations

Professional	Role in This Snapshot	Key Discussions
CPA / Tax Professional	Verify all tax strategies, calculate exact savings, file returns	REPS eligibility, cost segregation timing, SECURE 2.0 Roth catch-up, 2025 cleanup contributions, Augusta Rule documentation, OBBBA impact on SALT/itemizing
Estate Planning Attorney	Design estate structure for heirs	Dynasty trust, SLAT, ILIT, FLP, WY trust jurisdiction, gifting strategy before potential exemption decrease
Real Estate Attorney	STR acquisition entity structure, operating agreements	Entity selection for \$1.75M STR, liability protection, operating agreement amendments for new property
Licensed Financial Advisor (Fee-Only)	Investment implementation, insurance policy evaluation	Portfolio allocation, LIRP vs. alternatives comparison, overall risk assessment
Cost Segregation Firm	Engineering-based study for STR	Timing coordination with closing, 100% bonus depreciation calculation (OBBBA), look-back study on 2025 cost seg
Insurance Specialist	If pursuing LIRP	Policy structure, premium funding, illustrated returns. Obtain fee-only review before committing

Clayton noted his CPA is proactive on tax strategies and he has RE agent/investor relationships in place, which is a strong foundation for implementation discussions.

Milestone Considerations (2026)

Quarter	Milestone	Discussion Point
Q2 2026	2025 return filed; 2025 IRA/HSA funded	Confirm all 2025 cleanup contributions made before April 15. Review 2025 cost seg benefit with CPA.
Q2 2026	REPS hour tracking underway	Review first quarter's logged hours. On pace for 800+? Adjust strategy if needed.
Q3 2026	STR acquisition progress	If under contract or closed, initiate cost segregation study. Establish material participation tracking.
Q3 2026	Mid-year tax projection	CPA to model estimated 2026 tax liability with all strategies in place. Adjust W-4 if needed. Evaluate SALT cap impact.
Q4 2026	Solo 401(k) established (if applicable)	Plan must be in place by Dec 31 for 2026 employee deferrals.
Q4 2026	Augusta Rule days completed	All 14 rental days documented with minutes and FMV support.
Q4 2026	Estate planning consultation	Before year-end, discuss gifting strategies and trust establishment with estate attorney, especially given potential exemption changes.
Q1 2027	2026 Backdoor Roth funded	$\$8,600 \times 2 \text{ spouses} = \$17,200$ contributed and converted before April 15, 2027.

These milestones are provided for calendar awareness and discussion purposes. Verify all timing and applicability with your professional team.

Educational Resources

2026 Contribution Limits Reference

Account Type	Base Limit	Catch-Up (50-59, 64+)	Super Catch-Up (60-63)
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401(k) Employee Deferral	\$24,500	+\$8,000	+\$11,250
401(k) Total (Employee + Employer)	\$72,000	+\$8,000	+\$11,250
HSA (Family Coverage)	\$8,750	+\$1,000 (age 55+)	
HSA (Individual Coverage)	\$4,400	+\$1,000 (age 55+)	
Traditional / Roth IRA	\$7,500	+\$1,100 (age 50+)	

Business mileage rate for 2026: 72.5¢ per mile

SECURE 2.0 Roth Catch-Up Mandate: Employees who earned \$150,000+ in FICA wages from the same employer in 2025 must make 2026 catch-up contributions as Roth (not pre-tax).

OBBBA Key Provisions (2026): 100% bonus depreciation (permanent, post-Jan 19, 2025 acquisitions); SALT cap \$40,000; Section 179 limit \$2,500,000 (phase-out \$4,000,000); Standard deduction \$32,200 MFJ; Non-itemizer charitable deduction \$2,000 MFJ; CTC \$2,200/child; QBI deduction permanent.

IRS Resources (for educational reference)

- **IRS Publication 560** — Retirement Plans for Small Business (Solo 401(k), SEP)
- **IRS Publication 969** — Health Savings Accounts
- **IRS Publication 527** — Residential Rental Property (including STR)
- **IRS Publication 587** — Business Use of Your Home
- **IRS Publication 463** — Travel, Gift, and Car Expenses
- **IRC §280A(g)** — Augusta Rule (14-day rental exclusion)
- **IRC §469** — Passive Activity Loss Rules (REPS, material participation)

Verify all limits with IRS.gov or your tax professional. Limits shown are for 2026 tax year per Rev. Proc. 2025-32.

Important Disclaimers

Educational Purpose: This Wealth Strategy Snapshot is provided for educational and illustrative purposes only. It does not constitute individualized investment, tax, or legal advice.

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Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of April 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025 and SECURE 2.0 requirements effective 2026. Verify current rules with your tax professional.

Professional Consultation Required: Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

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